

Introduction to Law and Governance

Course: CPA — Certified Public Accountant

Level: Foundation Level (CA13)

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Syllabus version: Based on the standard KASNEB CPA Foundation Level Introduction to Law and Governance syllabus topics (CA13) — sources of law, the law of contract, business organisations, and introductory corporate governance. Authored from general legal and governance knowledge and standard syllabus topic coverage, not copied from any existing notes provider or study guide. Cross-check terminology and emphasis against the current KASNEB syllabus and examiner's reports before the exam.

Original work notice. Every explanation, worked example, and question in this document was written from scratch for this paper. No text has been copied or paraphrased from any KASNEB past paper, textbook, or third-party notes/study guide. The scenarios and practice questions are original.

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1. What is law, and the Kenyan legal system

Law is the body of rules, enforceable by the state, that governs conduct within a society. Kenya's legal system is organised around a court hierarchy — from subordinate courts, through the High Court, the Court of Appeal, up to the Supreme Court as the final appellate authority — with each level generally bound by the legal principles established by the courts above it.

2. Sources of law in Kenya

- **The Constitution** — the supreme law; any other law inconsistent with it is void to the extent of the inconsistency.
 - **Legislation (statutes)** — Acts of Parliament and subsidiary legislation made under authority granted by an Act.
 - **Case law (judicial precedent)** — principles established by courts in deciding cases, generally binding on lower courts in similar future cases.
 - **Customary law** — customs of a community, recognised where not inconsistent with the Constitution or statute.
 - **Common law and doctrines of equity** — inherited principles continuing to apply where not replaced by local statute.
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3. The law of contract — essential elements

A **contract** is a legally binding agreement between two or more parties, requiring: **offer** (a clear proposal to be bound if accepted), **acceptance** (unqualified agreement to the exact terms offered), **consideration** (something of value given by each party), **intention to create legal relations**, **capacity** (legal ability to contract), and **legality of object** (the purpose must not be illegal or against public policy). A response introducing new terms is a **counter-offer**, which rejects the original offer rather than accepting it.

4. The law of contract — discharge and remedies

A contract is **discharged** by **performance** (both parties fully carry out their obligations), **agreement** (mutual variation/termination), **frustration** (an unforeseen event makes performance impossible through no fault of either party), or **breach** (failure to perform as agreed). Remedies for breach include **damages** (monetary compensation), **specific performance** (a court order compelling actual performance), **injunction** (a court order restraining an act), and **rescission** (cancelling the contract and restoring both parties to their pre-contract position).

5. Forms of business organisation

- **Sole proprietorship** — one owner, unlimited liability, simple to set up.
 - **Partnership** — two or more owners sharing capital/management/profit under a partnership agreement, generally unlimited liability.
 - **Private limited company** — a separate legal entity from its shareholders, giving owners limited liability, but more complex to set up and administer.
 - **Public limited company** — able to offer shares to the public, subject to more extensive regulatory and disclosure requirements than a private company.
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6. Introduction to company law

A registered **company** is a distinct legal person, separate from its shareholders and directors — it can own property, enter contracts, sue and be sued in its own name. This principle, known as the **separate legal personality** of a company, is what gives shareholders **limited liability** — their personal liability for the company's debts is limited to the amount they agreed to invest, protecting personal assets beyond that from the company's creditors (subject to limited exceptions where courts may "lift the corporate veil," e.g. in cases of fraud).

7. What is corporate governance?

Corporate governance is the system of rules, practices and processes by which a company is directed and controlled, balancing the interests of shareholders, management, and other stakeholders. Good governance typically requires: a properly constituted, functioning board of directors; clear accountability for decisions; transparent reporting; and effective internal controls — all aimed at protecting shareholders' and stakeholders' interests and building trust in the organisation.

8. Directors' duties, basics

Directors of a company owe **fiduciary duties** — duties of trust and good faith — to the company, commonly including: a duty to act within their powers and for a proper purpose, a duty to promote the success of the company, a duty to exercise independent judgement, a duty to exercise reasonable care, skill and diligence, and a duty to avoid conflicts of interest between their personal interests and the company's. Breach of these duties can expose a director to personal liability to the company.

9. Full worked question — contract validity analysis

Scenario. Wafula, aged 16, agrees to buy a laptop from a shop on credit, to be paid in three monthly instalments.

Required: (a) Identify the legal issue with this contract. (b) Explain the general rule and its practical implication.

Solution:

(a) The legal issue is **capacity** — Wafula is a minor and generally lacks full legal capacity to enter a binding contract.

(b) The general rule is that contracts with minors are generally not enforceable against the minor in the same way as contracts between adults (though certain limited exceptions exist, such as contracts for genuine "necessaries"). Practical implication: the shop may find it difficult to legally enforce the payment instalments against Wafula directly because of his age and limited contractual capacity, which is exactly why traders extending credit are expected to verify the age/capacity of the person they are contracting with before relying on the agreement.

10. Practice examination — KASNEB-style paper (original, not a past paper)

Note on format. This section is laid out the way a KASNEB CPA examination paper is laid out — a timed paper with five compulsory 20-mark questions — purely so you can practise under realistic exam conditions. Every question below is an original scenario written for this document. **It is not a reproduction of any actual KASNEB past examination paper.**

CPA FOUNDATION LEVEL — INTRODUCTION TO LAW AND GOVERNANCE (PRACTICE PAPER)

TIME ALLOWED: 3 HOURS

Instructions to candidates: Answer ALL FIVE questions. Each question carries 20 marks. Show all workings clearly.

QUESTION ONE

(a) Outline the hierarchy of courts in Kenya. (8 marks)

(b) Outline FOUR sources of law in Kenya. (12 marks)

(Total: 20 marks)

QUESTION TWO

(a) Outline the essential elements required for a valid contract. *(12 marks)*

(b) Explain the effect of a counter-offer on the original offer. *(4 marks)*

(c) Outline TWO ways a contract may be discharged. *(4 marks)*

(Total: 20 marks)

QUESTION THREE

(a) Distinguish between a sole proprietorship, a partnership, and a private limited company. *(12 marks)*

(b) Distinguish between a private limited company and a public limited company. *(8 marks)*

(Total: 20 marks)

QUESTION FOUR

(a) Explain the concept of "separate legal personality" and its significance for shareholders. *(10 marks)*

(b) Explain the circumstances in which courts may "lift the corporate veil." *(6 marks)*

(c) Define "limited liability." *(4 marks)*

(Total: 20 marks)

QUESTION FIVE

(a) Define "corporate governance" and outline THREE features of good governance practice. *(12 marks)*

(b) Outline FOUR fiduciary duties owed by directors to a company. *(8 marks)*

(Total: 20 marks)

11. Marking guide — model answers to the practice examination**QUESTION ONE**

(a) *(8 marks)* — Subordinate courts → High Court → Court of Appeal → Supreme Court (final appellate authority), each generally bound by principles established by the courts above it.

(b) *(12 marks — 3 marks each)* — The Constitution, legislation, case law/judicial precedent, customary law (common law/equity also acceptable).

QUESTION TWO

- (a) *(12 marks — 2 marks each)* — Offer, acceptance, consideration, intention to create legal relations, capacity, legality of object.
- (b) *(4 marks)* — A counter-offer rejects and replaces the original offer, which is no longer available for acceptance unless renewed.
- (c) *(4 marks — 2 marks each)* — Performance, agreement (frustration or breach also acceptable).

QUESTION THREE

- (a) *(12 marks — 4 marks each)* — Sole proprietorship: one owner, unlimited liability. Partnership: two or more owners, shared management/profit, generally unlimited liability. Private limited company: separate legal entity, limited liability, more complex administration.
- (b) *(8 marks)* — A private limited company cannot offer shares to the public and has fewer disclosure requirements; a public limited company can offer shares to the public and faces more extensive regulatory/disclosure requirements.

QUESTION FOUR

- (a) *(10 marks)* — Separate legal personality means the company is a distinct legal person from its shareholders/directors, able to own property and contract in its own name; this gives shareholders limited liability, protecting their personal assets beyond their agreed investment from the company's creditors.
- (b) *(6 marks)* — Courts may lift the corporate veil in limited circumstances, such as where the company structure is being used to perpetrate fraud or evade an existing legal obligation.
- (c) *(4 marks)* — Limited liability means a shareholder's liability for the company's debts is limited to the amount they agreed to invest.

QUESTION FIVE

- (a) *(12 marks)* — Corporate governance is the system of rules, practices and processes by which a company is directed and controlled, balancing shareholder/stakeholder interests; features: a properly functioning board, clear accountability, transparent reporting (effective internal controls also acceptable) — 4 marks for definition, up to 8 for three features.
- (b) *(8 marks — 2 marks each)* — Act within powers/for a proper purpose; promote the success of the company; exercise independent judgement; exercise reasonable care, skill and diligence (avoid conflicts of interest also acceptable).

12. Exam technique and revision checklist

- Court hierarchy questions: state the levels in the correct order, from lowest to highest.

- Contract questions: always work through the elements systematically before concluding whether a contract is valid — a scenario question is testing whether you can apply each element, not just recite them.
- "Distinguish" questions (business forms, private vs public company): use consistent criteria (liability, ownership, regulation) on both sides of the comparison.
- Separate legal personality and limited liability are related but distinct concepts — always explain both clearly if a question touches on either.
- Directors' duties questions: name each duty precisely (a specific fiduciary duty) rather than a vague description of "acting responsibly."

Quick revision — one line per topic:

1. Court hierarchy: subordinate courts → High Court → Court of Appeal → Supreme Court.
2. Sources of law: Constitution, legislation, case law, customary law, common law/equity.
3. Contract needs: offer, acceptance, consideration, intention, capacity, legality of object.
4. Contracts discharged by: performance, agreement, frustration, breach.
5. Business forms: sole proprietorship (unlimited liability) → partnership (shared, unlimited) → private company (limited liability, separate entity) → public company (can offer shares publicly).
6. Separate legal personality: company is distinct from its owners; gives rise to limited liability.
7. Corporate governance: rules/practices/processes directing and controlling a company, balancing stakeholder interests.
8. Directors' fiduciary duties: proper purpose, promote success, independent judgement, care/skill/diligence, avoid conflicts of interest.

End of study notes. This document is intended as original exam-preparation material and should be used alongside the current official KASNEB syllabus and examiner's reports for the paper.